

External Strategic Analysis: Scanning the Environment

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Learning objectives

- See how **strategy links the firm to its external environment** (Grant's framework).
- Distinguish the **micro (industry)** from the **macro (general)** environment.
- Use the **PESTEL** tool to scan the global macro environment — and know its limits.
- Turn the analysis into strategy with a **SWOT / TOWS** logic.

Strategy links the firm and its external environment

The firm — internal analysis

- Goals & values
 - Resources & capabilities
 - Structure & systems
- yields **Strengths** and **Weaknesses**

Strategy

to build and sustain competitive advantage

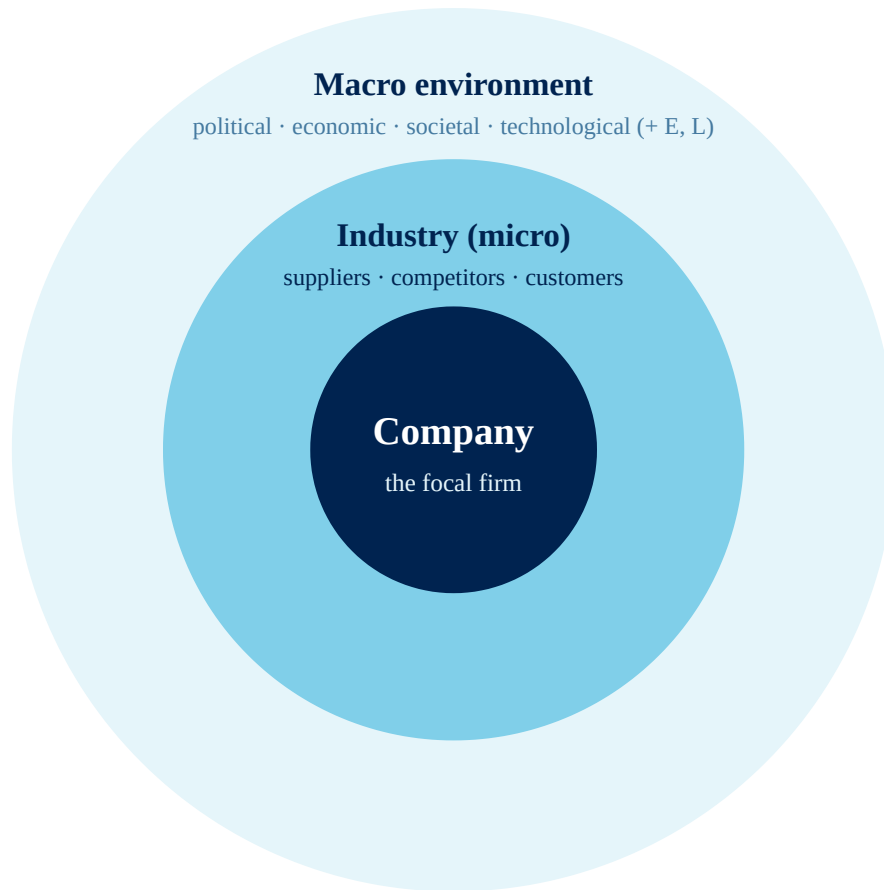
The environment — external analysis

- **Micro:** competitors · customers · suppliers
 - **Macro:** political, economic, societal, technological forces
- yields **Opportunities** and **Threats**

- Good strategy is the **bridge**: it matches the firm's strengths to the opportunities in its environment, while covering weaknesses and threats.
- External analysis therefore has two layers — the **industry (micro)** and the **general (macro)** environment.

Based on Grant, Contemporary Strategy Analysis (2010).

Two layers of the external environment



- The **industry** influences companies and competition **directly**.
- The **macro environment** influences the industry — and companies only **indirectly**.
- The macro environment is **almost the same for everyone** and can hardly be affected by a single firm — so the task is to **scan and anticipate** it.
- Tools: **PEST(EL)** for the macro layer, industry analysis (Porter) for the micro layer.

The PEST(EL) framework: scanning the macro environment

PEST(EL) captures the dynamics of the general environment as six sets of driving forces — the outer ring of the previous slide, made concrete.

P · Political

Stability · trade policy · tariffs · government intervention

E · Economic

Growth · inflation · exchange rates · disposable income

S · Social

Demographics · values & lifestyles · culture · education

T · Technological

Digitalization · infrastructure · R&D · automation

E · Environmental

Climate · sustainability regulation · resource scarcity

L · Legal

Employment law · IP · product standards · competition law

From PEST(EL) to opportunities and threats

- A PEST(EL) scan is only useful if it ends in a strategic question: **how does each force affect industry profitability** — and this firm?
- For every factor, classify it as an **opportunity** or a **threat**, and judge its **impact** and **likelihood**.
- Track the **direction of change**: is the force strengthening or weakening — and how fast?
- The output feeds directly into the **O** and **T** of the SWOT — and into scenario planning.

PEST(EL): a good start — but not sufficient

- **What it does well:** a scanning system that maps the firm's exposure to macro driving forces and roughly illustrates external conditions.
- Identifies the **key influencing variables** and displays historical developments to help forecast future forces.
- **Limits:** the line between organizational, industry and macro influences is often hard to draw.
- It is **subjective**; a historical view does not guarantee predictions; and it **cannot itself recommend actions**.
- → Treat it as a **foundation** for more detailed market and industry analysis — not a conclusion.

Turning analysis into strategy: the TOWS logic

Internal analysis gives Strengths and Weaknesses; external analysis gives Opportunities and Threats. Strategy lives where they cross.

	Opportunities	Threats
Strengths	SO: Do we have the strengths to exploit the opportunities?	ST: Do we have the strengths to overcome the risks?
Weaknesses	WO: Which opportunities are we missing because of our weaknesses?	WT: Which risks are we exposed to because of our weaknesses?

The four questions turn a static SWOT list into strategy options — the TOWS matrix.

Apply it: scan an industry's macro environment

IN-CLASS ACTIVITY · 12 MINUTES · SMALL GROUPS

Objective: run a quick PEST(EL) on a real industry and convert it into opportunities and threats.

- 1 Pick an industry with an international footprint: EVs, fast fashion, streaming, air travel or coffee.
- 2 List **one strong force per PEST(EL) letter** shaping it right now.
- 3 For each, mark **opportunity or threat** — and whether it is strengthening or weakening.
- 4 Name the **single most important** macro force, and one strategic response a firm should make.
- 5 Report your top force to the class — we compare which letters dominate which industries.